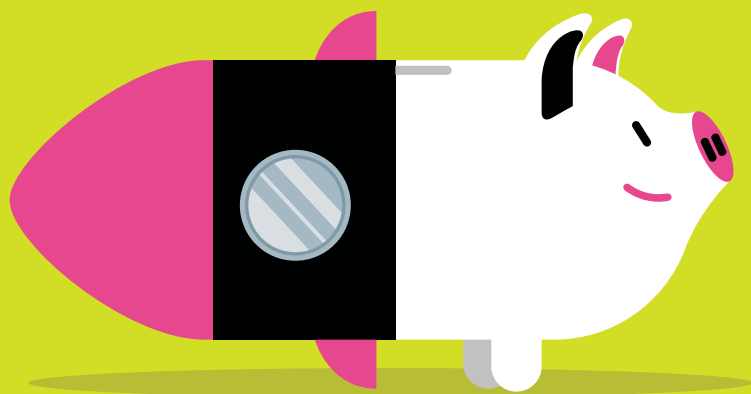




By 2027, the start-up ecosystem is projected to create \$1 trillion in value, host 200-plus unicorns, and employ more than 3.5 million specialised workers

sovereignty decades after gaining Independence and avoid becoming a digital colony, the government must invest in and incentivise more domestic capital within the ecosystem and promote genuine intellectual property (IP) creation.

The SIDBI Fund-of-Funds has been the lone success story of government intervention and has played a key role in developing the ecosystem. However, the government cannot rely on just one successful funding vehicle. Given India's population size (1.4 billion), economy (nearly \$4 trillion, projected to reach \$10 trillion within

a decade), and the start-up ecosystem's growth potential, the country needs multiple fund-of-funds.

As a starting point, a ₹50,000-crore fund-of-funds should be established to provide capital for technological innovations in the private sector, with the aim of generating ₹2.5 lakh crore in total investment. These funds should be directed towards frontier technology development in areas such as AI, quantum computing, genomics, new materials, and 3D printing. The government could offer incentives like retaining only 50% of pro-rata profits, with the

remaining distributed to other investors.

The recent announcement of the 'Anusandhan Fund' with a ₹1 lakh crore financing pool, offering interest-free loans, is promising and could make a significant impact if the loan terms are flexible, include private sector participation, and are managed by an independent committee. However, there is a pressing need for broad-based technology development that the government must prioritise. India's goal of becoming a Top 3 global economy will require significant investment in research, innovation, technology and IP development. The National Research Foundation (NRF) still lacks substantial allocations to date. It is crucial to structure the NRF grant terms liberally, similar to the National Science Foundation in the US, rather than imposing rigid conditions that stifle innovation. In the US, the world's leading economy and an innovation powerhouse, research grants and non-term public funding drive entrepreneurship, where funded professors and students commercialise their research and launch start-ups that grow into major companies.

Finally, the government could encourage corporate R&D by offering a grant of 10% of the amount spent on approved R&D projects. The grant would be tax-free for the recipient corporation, provided it is used for the designated project. By doing so, the government would support the development of long-term economic growth and global competitiveness. As start-ups scale into enterprises, they can access these grants to foster genuine IP creation that benefits India. **BT**

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